# Kross Ltd

Concall Tracker · Q2 2027 · first report

## 1. Snapshot

Jamshedpur maker of trailer axles and suspensions plus forged parts (axle shafts, flanges, anti-roll bars) for truck makers like Tata Motors and Ashok Leyland, tractor maker TAFE and a few European buyers. It earns by selling these parts to fabricators and vehicle makers, so it rides the truck cycle.

| Number | Value | What it means |
|---|---|---|
| Market cap | Rs 2,006 cr | What the whole company is worth on the market today. |
| Sales, Sep 2026 quarter | Rs 235 cr, up 80% on a year ago | Its best quarter ever, almost double the slow quarter a year back. |
| Operating margin (OPM) | 13% this quarter | About Rs 13 of operating profit on every Rs 100 of sales; flat for three years. |
| Net profit, Sep 2026 quarter | Rs 20 cr | About two and a half times the same quarter last year. |
| P/E | about 29 | Investors pay about 29 years of current profit for the stock: not cheap for a parts maker. |
| Return on capital (ROCE) | 16% | Decent, not great; the new tube plant soaks up money before it earns. |

## 2. Concall coverage

| Quarter | Date | Transcript read? |
|---|---|---|
| Q2 FY25 | 13 Nov 2024 | Yes |
| Q3 FY25 | 11 Feb 2025 | Yes |
| Q4 FY25 | 19 May 2025 | Yes |
| Q1 FY26 | 11 Aug 2025 | Yes |
| Q2 FY26 | 17 Nov 2025 | Yes |
| Q3 FY26 | 30 Jan 2026 | Yes |
| Q4 FY26 | 13 May 2026 | Yes |
| Q1 FY27 | 27 Jul 2026 | Yes |
| Q2 FY27 | 19 Oct 2026 | Yes, read in full |

Nine calls, every one since the Sept 2024 listing: two years of story.

### Latest concall highlights: Q2 FY27 (19 Oct 2026)

- Sales Rs 235 cr, up 80% on a year ago; trailer axle sales roughly doubled to about Rs 115 cr. Trailer axle volumes up about 55%.
- The new extrusion line (one-piece axle beams) is finally running: about 80% of axles leaving the plant now use it, heading to 100% in a quarter or two.
- Margin stuck at 13% because steel and consumables costs rose; price hikes agreed with OEMs should help Q3 and Q4. Management wouldn't say when the old 14-15% margin returns.
- Seamless tube plant: main mills installed, production trials planned for Feb-Mar 2027. About Rs 120 cr of the Rs 170 cr budget spent.
- A Rs 63.6 cr preferential issue (shares and warrants to investors) will fund more axle-shaft capacity, cold-drawn tubes and robotic forging.

### Business mix & capacity

**Domestic vs export:** Exports are about 8% of the component business, so roughly 4% of total sales (FY26 exports were 4% of revenue). The rest is India.

**Capacity use:** Axle capacity now 7,500 a month after the extrusion line; it's making about 4,400, so roughly 60% used and lots of room to grow without new spending.

## 3. Earning Trigger thesis

The driver is plain: the truck cycle turned in October 2025 after 17 slow months, and Kross is growing faster than the trucks themselves by winning share in trailer axles, now made on a one-piece extrusion line no other Indian maker has. Next comes a seamless tube plant that makes its own axle tubes and sells the rest to oil-and-gas and engineering buyers, which management says counts from FY28.

| Trigger | What management said | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| Truck and trailer upcycle | OEMs signal Q3 and Q4 stronger than Q2; H2 usually 20% above H1 | Sales up 18%, 22%, 32%, 80% in the last four quarters | Now to FY27 | Strong: already in numbers, but it's a cycle |
| Extrusion line (axle beams) | Cuts cost, lifts quality, adds 50% axle capacity, opens tag/dead axles | Running since mid-2026; 80% of axles on it | Now | Moderate: volume is there, the cost saving isn't in margins yet |
| Seamless tube plant | Rs 167-170 cr, backward integration plus outside sales | Mills installed; trials Feb-Mar 2027 | FY28 | Unproven: slipped from mid-FY27 to Q4 FY27 |
| Exports | Double-digit share of sales by FY27 | Still about 4% of sales | FY27 | Weak: well short of the target |

## 3b. Trigger check

| Trigger type | Yes/No | What was said (date) |
|---|---|---|
| Debt cut | No | Debt rising for the tube plant (Rs 110 cr term loan) |
| New business | Yes | Tipping jacks launched Q4 FY26; seamless tubes and cold-drawn tubes coming (Oct 2026) |
| Margin up | No | Margin flat at 13%; 'difficult' to say when 14-15% returns (Oct 2026) |
| New management | No | Same Rai family team |
| New capacity | Yes | Extrusion line in production; 80% of axles on it (Oct 2026); tube trials Feb-Mar 2027 |
| Big orders | No | No order book figure; OEM schedules only |
| Turnaround | Yes | Growth back after 17 slow months; 'first time in seven quarters' M&HCV grew (Jan 2026) |
| Promoter buying | No | Preferential issue went to investors; promoter stake slipped to 67% |

**The single concrete driver:** Trailer axle volumes up about half on the truck upcycle and share gains, now made on the new extrusion line.

## 3c. Margin bridge

Margin is about 13%, the same as a year ago, despite sales nearly doubling: steel, consumables and oil-gas cost rises ate the gain from scale. Management expects price hikes already agreed with OEMs to make it up in Q3-Q4, retrospectively. (one-off)

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Nov 2024 | Double-digit sales growth in FY25; extrusion plant by Q4 FY25 | FY25 sales flat; extrusion slipped repeatedly | Missed |

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Feb 2025 | Seamless tube plant done mid-FY27 | Now trials Feb-Mar 2027, i.e. end of FY27 | Partly |
| May 2025 | Exports 5% of FY26 sales; extrusion production Q2 FY26 | Exports 4%; extrusion selling from May 2026 | Missed |
| Aug 2025 | Double-digit export share by end FY27 | About 4% of sales so far | Too-early |
| Nov 2025 | H2 FY26 much bigger than H1 | H2 up 49% on H1 | Delivered |
| Jul 2026 | Strong Q2, then stronger Q3-Q4 | Q2 sales up 80% | Delivered |

**Narrative drift:** The story hasn't changed: extrusion line, seamless tubes, exports, tractors. But every timeline has slipped by two to four quarters, and the export goal has quietly been reworded from 'double digits by FY27' to 'increasing over two years'. The demand calls have been right; the project dates haven't.

## 5. Bottom line

### Durable earning trigger? → YES

A real driver that's already in the numbers: the truck upcycle plus share gains in trailer axles, with the extrusion line now running. The catch is that much of it is the cycle, margins haven't moved, and the tube plant is still a promise.

### Management consistent? → MAYBE

Honest about demand and it delivered the H2 recovery it called. But it missed the FY25 growth promise, the extrusion line ran about a year late, the tube plant has slipped, and exports keep falling short of the target.

### 6. Checkpoints for next quarter

- Q3 sales stay at or above the Q2 level
- Margin climbs back toward 14% after the price hikes
- Seamless tube trials start by March 2027

This is not investment advice. Do your own due diligence.